

behavior of securities analysts in particular, the concepts presented here can and will be applied to individual investors later on.

Commenting on conservatism as it relates to the securities markets in general, Montier noted: “The stock market has a tendency to underreact to fundamental information—be it dividend omissions, initiations, or an earnings report. For instance, in the United States, in the 60 days following an earnings announcement, stocks with the biggest positive earnings surprise tend to outperform the market by 2 percent, even after a 4 to 5 percent outperformance in the 60 days prior to the announcement.”

In relating conservatism to securities analysts, Montier wrote:

People tend to cling tenaciously to a view or a forecast. Once a position has been stated, most people find it very hard to move away from that view. When movement does occur, it does so only very slowly. Psychologists call this conservatism bias. The chart below [Figure 5.1] shows conservatism in analysts' forecasts. We have taken a linear time trend out of both the operating earnings numbers and the analysts' forecasts. A cursory glance at the chart reveals that analysts are exceptionally good at telling you what has just happened. They have invested too heavily in their view and hence will only change it when presented with indisputable evidence of its falsehood.⁴

This is clear evidence of conservatism bias in action. Montier's research documents the behavior of securities analysts, but the trends observed can easily be applied to individual investors, who also forecast securities prices, and will cling to these forecasts even when presented with new information.

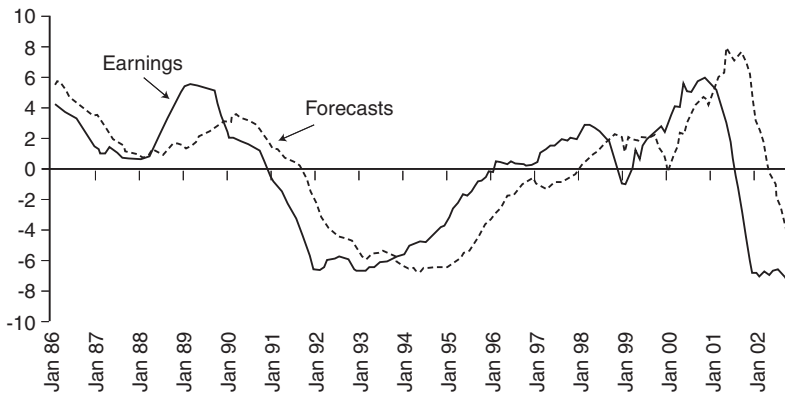


FIGURE 5.1 Montier Observes that Analysts Cling to Their Forecasts

Source: Dresdner Kleinwort Wasserstein, 2002.